FIN-008 · Personal finance

Rent and ownership cost comparison

Replace the sample figures before you rely on the result.

MOHAO digital product

This is a one-year cash comparison. It ignores transfer duty, bond registration, estate agent commission, and any change in the property's price. Those can dominate a short stay. The sample rent is R9,500 and the quoted repayment is R8,200, but levies and maintenance pull ownership above rent.

How to use the workbook

1. Use the repayment from a quote, not a number you hope for.
2. Enter monthly levies, rates, insurance, and a maintenance reserve.
3. Read Ownership minus next rent. A positive number means the ownership year costs more than the next rental year.
4. Decide separately how long you expect to stay. This sheet cannot answer that.

Worked example

Annual rent before the increase is R114,000.

- After an 8% increase it is R123,120.
- Ownership in the sample is R11,850 a month, or R142,200 a year.
- The gap is R19,080 for the year.

A practical routine

- Ask for the levy statement and the rates account, not only the selling price.
- Keep a maintenance reserve even in a new building.
- Recalculate when the quote expires.

This workbook organises figures you type in. It is not financial, credit, insurance, or tax advice. Rates, fees, and laws change. A qualified adviser should review decisions that affect debt, tax, medical cover, or retirement.